European TMT gross bond supply may reach €150bn in 2027, driven by tech funding for AI and data centres rather than traditional telecoms. Strong cash flows and credit quality support issuance, but disciplined funding will be key to market absorption



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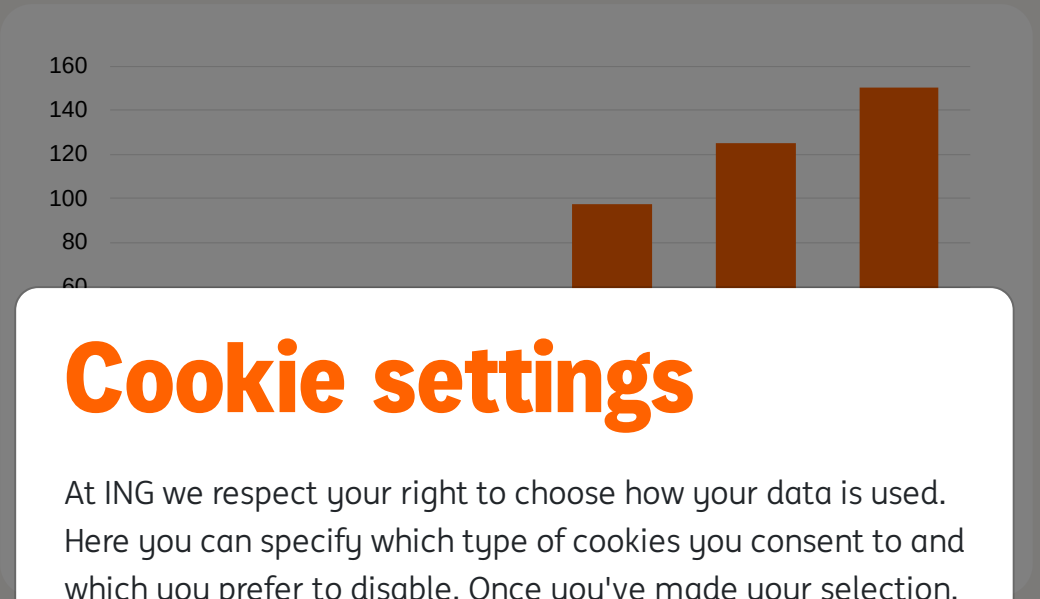
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We predict another year of strong supply for the European TMT sector. We expect €150bn of gross issuance and €103bn of net issuance, given €47bn of debt redemptions. The additional issuance is not coming from the traditional telecom or media issuers, but from global tech companies.

As we expect the data centre build-out to continue in 2027, issuers are likely to return to the European investment-grade credit market to raise part of the required funding. Meanwhile, we do not see a major reason for traditional sectors to reduce or increase

indebtedness, as factors driving indebtedness higher are countered by factors driving debt lower, as we'll explain below.

European investment-grade TMT supply (€bn)



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in FY27.

Low-single-digit EBITDA growth gives companies some capacity to issue additional debt while maintaining stable leverage. However, higher interest rates provide an incentive to keep debt levels in check. We therefore expect the increase in debt issuance to be driven mainly by M&A. Several debt-funded acquisitions of smaller networks could generate around €5bn of net issuance. A further €3bn could come from US operators raising euro-denominated funding for spectrum payments in 2027.

Technology supply

In 2027, we believe the AI build-out will continue. Tech companies currently report healthy returns on investment, demand for AI services continues to outpace supply, and companies want to maintain their market positions. We therefore expect further capex growth in 2027, with the large hyperscalers investing close to US$1tr in fiscal 2027.

As in 2026, we expect these companies to finance their investments largely from operating cash flow, but also through debt issuance, with additional funding coming from European

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on future funding plans, as spreads may only tighten once the market no longer expects substantial new supply. Nevertheless, current spreads look attractive relative to the issuers' high ratings, with much of the widening driven by supply and liquidity effects. Relatively wide CDS spreads also suggest that technical factors, rather than a material deterioration in credit risk, are weighing on valuations. This combination of high credit quality and attractive spreads should attract new money to the investment-grade market.

Challenge 1: Does debt issuance reduce credit quality?

First, we expect the hyperscaler data centre operators Amazon, Microsoft, Alphabet, Meta and Oracle to grow their combined EBITDA by US$230bn, or 29%, in FY27, to around US$1tr. Moreover, with the exception of Oracle, these companies are expected to operate with limited net debt, with Microsoft holding more cash than debt. The main caveat is their significant lease commitments, many of which are not yet reflected in balance-sheet lease liabilities because the underlying leases have not commenced. Given our aggregate EBITDA projection of around US$1tr for fiscal

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accommodate more supply?

Do European credit markets have the capacity to absorb additional supply from technology companies? We think the current share of technology issuers remains modest. Alphabet accounts for only 1.16% of the iBoxx € Non-Financials index, while Amazon and IBM account for 0.68% and 0.91%, respectively.

In the US, Oracle's share of more than 2% in the iBoxx $ Domestic Non-Financials index illustrates that individual technology issuers can reach materially higher benchmark weights, while several high-

yield indices apply a 3% issuer cap. In addition, many large technology companies have not yet raised funding from European credit markets.

We therefore see significant room for technology companies to increase issuance in European investment-grade markets. The inclusion of eligible new bonds in benchmarks also creates a strong technical incentive for benchmark-aware investors to participate in new deals, as not owning the bonds could increase their tracking error.

Benchmark sizes selected TMT names in E

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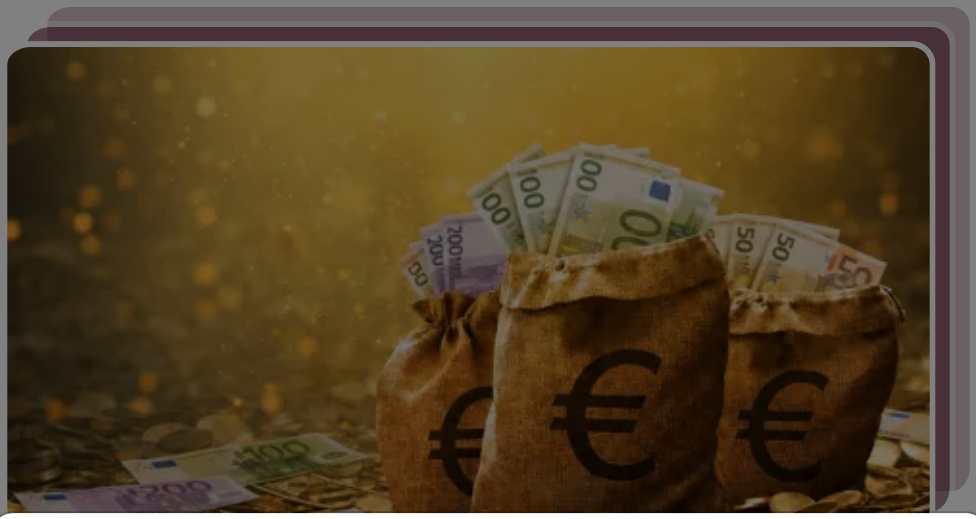
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